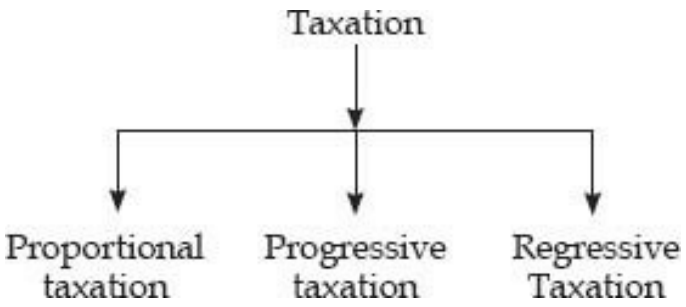
Classification of Taxation

The taxation can be classified mainly into three types as shown in the figure 5.5.

Figure 5.5



Proportional Taxation

Tax levied as a percentage of tax base irrespective of size of tax base, at a uniform rate is called as proportional tax. For example both who receive income/spend/purchase worth of ₹10,000 and ₹100,000 pay equal per cent of tax.

Table 5.1

Size of tax base	Tax rate	Tax amount
₹10,000	10%	₹1,000
₹100,000	10%	₹10,000

Here the tax rate remains the same but the absolute amount of tax increases with increase in size of tax base.

Progressive Taxation

If tax rate increases with the increase in size of tax base, it is called progressive tax. For example, those who receive income/spend/purchase worth of ₹100,000 pay higher tax rate than